First Shares · free guide

The First $1,000 Plan

The order: 3 accounts, 3 fund types, 1 rule.

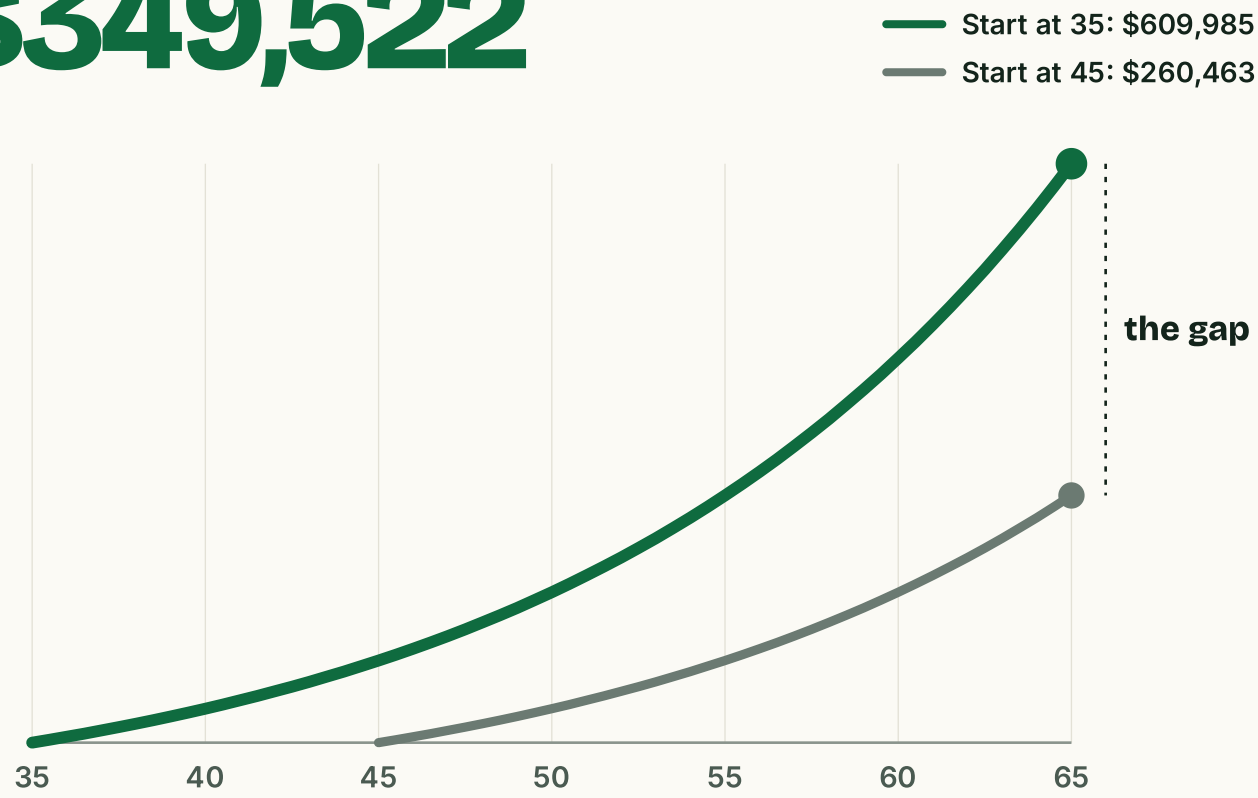
by Maya Okafor

The cost of waiting

The same $500 a month, started at 35 vs at 45. Time does more of the work than the amount.

The difference at 65

$349,522



Illustrative, not a forecast. $500 a month, 7% average yearly return, compounded monthly, no fees or taxes. Markets go down as well as up; real returns will differ.

> **Before you invest anything:** keep an emergency fund of 3–6 months of expenses in savings, and pay off high-interest debt (credit cards) first.

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The order

People stall trying to pick the best fund. The order does more than the picks.

1 401(k) up to the match

If your employer matches, contribute at least enough to get all of it. It’s part of your pay.

2 Roth IRA

Contributions go in after tax, and qualified withdrawals in retirement are tax-free. There are income limits and a yearly maximum.

3 Back to the 401(k)

Above the match, if you have room.

4 Brokerage account

For anything beyond that, or for goals before retirement.

When to break the order: no match means start at step 2. High-interest debt comes before all of it. If you’re eligible for an HSA, read page 4. Limits and income rules change every year; check irs.gov.

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Five accounts on one page

Account	Who it's for	Tax	The catch
401(k) / 403(b)	Through your employer	Pre-tax or Roth	Limited fund menu
Roth IRA	Anyone under the income limit	Tax-free growth	Yearly contribution limit
Traditional IRA	If Roth isn't available, or a deduction helps	Deductible (maybe)	Taxed on withdrawal
HSA	On a high-deductible health plan	Triple tax advantage	Health plan required
Brokerage	Everything else	Taxed yearly on gains and dividends	No tax shelter, full flexibility

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The three fund types

Total US stock index fund

Thousands of US companies in one fund.

Total international stock index fund

The rest of the world.

Bond index fund

Steadier, with lower expected growth. You hold more of it as you near the money's use.

Or one **target-date fund** that holds all three and adjusts over time.

Four numbers to check on any fund

1. **Expense ratio**: what it charges you a year. Lower is better; broad index funds are often under 0.10%.
2. **What it holds**: read the one-line description.
3. **Number of holdings**: more is broader.
4. **Fund size**: very small funds can close.

> This guide doesn't recommend specific funds. The mix between them depends on your timeline and your comfort with risk.

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The one rule: automate before you optimise

Pick the day after payday. The money moves before you can spend it.

Pick an amount you won't stop in a bad month. Smaller and steady beats bigger and paused.

Set it in two places: bank → account, then account → funds (most brokerages call it "automatic investing").

Raise it by 1% of pay each year, on the same date as your raise.

Delete the app from your home screen. Check once a year.

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A bad year

Markets fall, sometimes 20–30% or more, and recoveries can take years. You can lose money. The plan:

1. Money you need within roughly 3–5 years shouldn’t be in stocks.
2. Keep the transfer running.
3. Don’t sell because it’s red.
4. Rebalance once a year, not every week.

> None of this guarantees a result. It keeps you from the most common expensive mistake: selling low.

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The Saturday checklist

- [ ] Emergency fund amount decided
- [ ] 401(k) login found, match % checked
- [ ] Contribution set to at least the match
- [ ] Roth IRA opened (or the reason why not written down)
- [ ] Fund type chosen for each account
- [ ] Automatic transfer set: day ___ amount $_____
- [ ] Next check-in date in the calendar (once a year)
- [ ] This page on the fridge

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